

ECON 101: Macroeconomics

Quiz 5

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1. The primary monetary policy tool used by the Bank of Canada is:
 - (A) The money supply target
 - (B) The exchange rate
 - (C) The target overnight interest rate
 - (D) Government spending
2. A decrease in the target overnight rate will most directly:
 - (A) Increase long-run aggregate supply
 - (B) Increase short-term interest rates
 - (C) Reduce borrowing costs and stimulate spending
 - (D) Decrease inflation immediately to zero
3. Which of the following is part of the monetary transmission mechanism?
 - (A) Changes in tax rates
 - (B) Changes in interest rates affecting investment
 - (C) Changes in labour laws
 - (D) Changes in population growth
4. If the Bank of Canada raises interest rates, the Canadian dollar will most likely:
 - (A) Depreciate
 - (B) Appreciate
 - (C) Remain unchanged
 - (D) Become fixed

5. Contractionary monetary policy will:

- (A) Shift AD to the right
- (B) Increase investment spending
- (C) Shift AD to the left
- (D) Increase net exports

Problem

The Bank of Canada is concerned that inflation is above its target. It decides to increase the policy interest rate.

Suppose the economy is initially at the following equilibrium:

- Potential GDP: $Y^* = 2,500$
- Actual GDP: $Y = 2,700$
- Inflation is rising

The Bank increases the policy interest rate, which reduces investment by \$100 billion.

The marginal propensity to consume (MPC) is 0.75.

- (a) Calculate the spending multiplier. (3 marks)
- (b) Calculate the total change in equilibrium GDP resulting from the decrease in investment. (4 marks)
- (c) Calculate the new level of equilibrium GDP. (2 marks)
- (d) Using an AD–AS diagram, illustrate:
 - the initial equilibrium,
 - the shift in aggregate demand,
 - the new short-run equilibrium.

Clearly label:

- AD_0 , AD_1 ,
- SRAS, LRAS,
- equilibrium output and price level.

(3 marks)

- (e) Explain how this monetary policy helps reduce inflation in the medium run. (3 marks)

End of Quiz